

MPT, INDEX FUNDS, ETC.

The latest in the parade of history's answers is Modern Portfolio Theory.

Actually, all that MPT does is provide some quantitative measuring devices for certain portfolio characteristics that experienced investors have known about for generations. Stripped of its fine points, MPT says:

Some stocks rise and fall more in bull and bear markets than others.

Portfolios that fluctuate more violently should be expected to provide higher returns than more stable portfolios.

Most of a portfolio's fluctuations reflect general market fluctuations.

Diversification lessens risk. Non-market risk can be diversified away and probably should be.

Thus, we may be able to control variability of returns although not the returns themselves.

Transaction and investment management costs are significant penalties to returns.

That choice of asset mix is the most important influence on future returns and future risk.

Although these are all valuable investment concepts, many users of MPT seem to see an implied precision in their quantitative machinations and gain a comfort therefrom that may be dangerous. This danger arises primarily because it diverts too much attention from the big question of whether to own stocks or bonds at all, and in what relative amounts. I'm not speaking here of market timing decisions or decisions regarding the theoretically optimum long-term asset mix, but a much bigger question of whether or not we are in one of those crucial decision periods that occur only rarely in an investment lifetime.